

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No.: 16-16

MAVL CAPITAL, INC.,
IAM & AL GROUP INC., and MAXIM OSTROVSKIY,

Complainants,

— vs. —

MARINE TRANSPORT LOGISTICS, INC. and DIMITRY ALPER,

Respondents.

COMPLAINANTS' STATUS REPORT

Complainants herein submit this Status Report to make the Commission aware of changes in status regarding the above captioned matter as it pertains to Complainants' pending Exceptions to the Presiding Officer's Initial Decision of January 17, 2017, which partially dismissed the Complaint with respect to complainants' 2006 Mercedes SL65.

In the first instance we wish to bring to the Commission's attention that complainants became aware today that respondents had apparently docketed a Substitution of Counsel and Notice of Appearance (dated April 30, 2018 and appearing on the docket on May 2, 2018). Complainants were not served with these documents by email and also note that there is no Certification of Service stating the manner in which service of these documents was allegedly made.¹

¹ 46.U.S.C. §502.114 states that: "...all pleadings, documents and papers of every kind (except requests for subpoenas under §502.131, documents served by the Commission under §502.113, and documents submitted at a hearing or prehearing conference) in proceedings before the Commission, when delivered to the Commission or the presiding officer for filing, ***must show that service has been made upon all parties to the proceeding and upon any other persons required to be served by the rules in this Part.*** Such service must be made by delivering one copy to each party; by email; in-person hand delivery; or United States mail service, and be properly addressed with postage prepaid; by courier; or by facsimile. ***Service should be made in the same manner in which any pleading or document is filed with the Commission.***"

Additionally, the Commission may recall that the Presiding Officer found that Complainants failed to establish that a contract of carriage existed between the parties for the ocean transport of said automobile. As set forth below, complainants respectfully submit the following information recently obtained during the course of litigation in a separate matter which involves the Mercedes, and which may be relevant to the issue of respondents having confiscated said automobile under the pretense of a maritime lien for monies allegedly due and owing for services unrelated to the ocean carriage of said automobile, in violation of the Shipping Act of 1984.

The Commission is respectfully referred to a lawsuit in the U.S. District Court for Eastern District of New York, captioned as *MAVL Capital Inc. et al. v. Marine Transport Logistics Inc. et al.*, U.S.D.C. E.D.N.Y Docket No.: 1:13-cv-07110-SLT-RLM, wherein it is alleged that respondents and their counsel made duplicitous representations before the Court and this Commission regarding the subject Mercedes. Specifically, having previously averred that the sum of \$4950.00 which was wire transferred into respondents' bank account was, in part, payment for the subject Mercedes Benz sold pursuant to the purported maritime lien, said counsel then duplicitously averred that the same sum of \$4950.00 was in actuality, payment for a "boat trailer" sold by respondents to the complainants in the matter of *Crocus Investments, LLC and Crocus FZE v. Marine Transport Logistics, INC. and Aleksandr Solovyev a/k/a Royal Finance Group INC.*, FMC DOCKET NO.: 15-04.

In a recent Memorandum and Order of March 26, 2018 by the Honorable Pamela K. Chen, the Court noted counsel's duplicitous representations on the record and their failure to correct them, explaining on page "20" as follows:

"As an initial matter, the contradictory representations made by Defendants in this action and the FMC and/or Crocus Actions, and the admitted failure by defense counsel to disclose the latter representation, while harmless as a substantive matter, provide a legitimate basis for Plaintiffs to seek sanctions against Defendants and their counsel.¹⁸ *CMF Investments, Inc. v. Palmer*, No. 13-CV-475 (VEC), 2014 WL 6604499, at *10 (S.D.N.Y. Nov. 21, 2014) (denying defendant's motion for sanctions where he "did not come to the Court with entirely clean hands himself"). As discussed, defense counsel has provided no justification for the seeming

misrepresentation in this case or the failure to disclose the contradictory representations made by Defendants regarding the disposal of the Mercedes. While Plaintiffs' requests for sanctions were procedurally improper and muddled, they were not without a reasonable basis. In short, Defendants' or their counsel's own actions caused the Rule 37 motions about which they now complain and extended the litigation as much as any other factor in this case.

¹⁸ Indeed, defense counsel did not acknowledge until the March 20, 2018 oral argument that they had, in fact, made contrary representations in the different actions and had failed to disclose or correct the inconsistency in this action. See *supra*, note 6."

See, Mavl Capital, Inc. v. Marine Transp. Logistics, Inc., No. 13CV7110PKCRLM, 2018 WL 1474175, at *10 (E.D.N.Y. Mar. 26, 2018). If the Commission ultimately determines that it has jurisdiction of complainants' claims with regard to the Mercedes, the foregoing new information may be relevant for the Commission in determining whether respondents violated the Shipping Act by confiscating said vehicle under the pretense of a maritime lien.

In closing, this information may affect the outcome of the Commission's rulings on Complainants' Exceptions to the Presiding Officer's Initial Decision. Consequently the foregoing is respectfully submitted as a 'change in status' of this case with regard to: (1) the absence of a Certificate of Service as to respondents' Substitution of Counsel; and (2) respondents' counsels' admitted failure to disclose their representation regarding the Mercedes, so as to inform the Commission as same may reflect upon or be determinative of the pending Exceptions.

As always, complainants thank the Commission for its many continuing courtesies and considerations in this case.

Dated: May 3, 2018
Brooklyn, New York

Respectfully Submitted,



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CERTIFICATE OF SERVICE

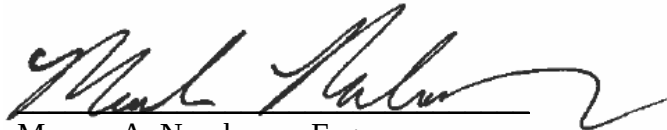
I hereby certify that I have this day served the **COMPLAINANTS' STATUS REPORT** upon Respondents' Counsel at the following address:

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